Absorbing Transition DID Results: Bad Historical Violation — Downgrade

| | Any Failure | | Restatement | | Violation | |
|---|---|---|---|---|---|---|
| | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary | Pooled | Mandatory / Voluntary |
| **Panel A: Absorbing DID: Trim** | | | | | | |
| × Mandatory Rotation | | 0.047** | | 0.005 | | 0.056** |
| | | (0.022) | | (0.011) | | (0.023) |
| × Voluntary Rotation | | 0.017* | | -0.002 | | 0.022*** |
| | | (0.009) | | (0.005) | | (0.008) |
| Pooled | 0.029*** | | 0.003 | | 0.032*** | |
| | (0.006) | | (0.004) | | (0.006) | |
| Mandatory − Voluntary | | 0.030 | | 0.008 | | 0.034 |
| Difference p-value | | 0.214 | | 0.524 | | 0.158 |
| Observations | 30,608 | 27,919 | 30,608 | 27,919 | 30,608 | 27,919 |
| Firms | 4,909 | 4,749 | 4,909 | 4,749 | 4,909 | 4,749 |
| **Panel B: Absorbing DID: Strict** | | | | | | |
| × Mandatory Rotation | | 0.034** | | 0.020** | | 0.043** |
| | | (0.016) | | (0.010) | | (0.020) |
| × Voluntary Rotation | | 0.026** | | 0.002 | | 0.032*** |
| | | (0.012) | | (0.007) | | (0.010) |
| Pooled | 0.031*** | | 0.005 | | 0.037*** | |
| | (0.010) | | (0.006) | | (0.009) | |
| Mandatory − Voluntary | | 0.008 | | 0.019 | | 0.010 |
| Difference p-value | | 0.696 | | 0.135 | | 0.650 |
| Observations | 13,918 | 13,353 | 13,918 | 13,353 | 13,918 | 13,353 |
| Firms | 2,352 | 2,323 | 2,352 | 2,323 | 2,352 | 2,323 |
| **Panel C: Fixed-Window DID: 2-Year Window** | | | | | | |
| × Mandatory Rotation | | 0.025* | | 0.000 | | 0.035*** |
| | | (0.014) | | (0.008) | | (0.013) |
| × Voluntary Rotation | | 0.013** | | -0.000 | | 0.016*** |
| | | (0.005) | | (0.004) | | (0.005) |
| Pooled | 0.023*** | | 0.001 | | 0.028*** | |
| | (0.004) | | (0.002) | | (0.003) | |
| Mandatory − Voluntary | | 0.012 | | 0.001 | | 0.019 |
| Difference p-value | | 0.415 | | 0.929 | | 0.166 |
| Observations | 39,170 | 36,350 | 39,170 | 36,350 | 39,170 | 36,350 |
| Firms | 5,244 | 5,165 | 5,244 | 5,165 | 5,244 | 5,165 |
| **Panel D: Fixed-Window DID: 3-Year Window** | | | | | | |
| × Mandatory Rotation | | 0.028** | | 0.001 | | 0.039*** |
| | | (0.013) | | (0.008) | | (0.013) |
| × Voluntary Rotation | | 0.011** | | 0.000 | | 0.013*** |
| | | (0.005) | | (0.004) | | (0.004) |
| Pooled | 0.023*** | | 0.002 | | 0.027*** | |
| | (0.004) | | (0.002) | | (0.003) | |
| Mandatory − Voluntary | | 0.016 | | 0.000 | | 0.026* |
| Difference p-value | | 0.261 | | 0.990 | | 0.061 |
| Observations | 40,298 | 37,475 | 40,298 | 37,475 | 40,298 | 37,475 |
| Firms | 5,244 | 5,178 | 5,244 | 5,178 | 5,244 | 5,178 |
| Controls | Yes | Yes | Yes | Yes | Yes | Yes |
| Firm FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Year FE | Yes | Yes | Yes | Yes | Yes | Yes |
| Audit Firm FE | No | No | No | No | No | No |
| Sample years | Full | 2004 onward | Full | 2004 onward | Full | 2004 onward |

*Notes:* Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.